APEX TERMINAL | EQUITY RESEARCH

# RELIANCE.NS | BUY | 12M outlook

RELIANCE.NS | Reliance Industries Limited | Energy | Diversified Oil Gas & Chemicals

NSE (India) | INR | 12M outlook | report date 2026-10-26

Generated 27 Oct 2026, 08:46 am - deterministic client engine

**DEMO - SYNTHETIC DATA - NOT FOR INVESTMENT USE**

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## Investment Summary

| RATING | TARGET (12M) | IMPLIED UPSIDE | LAST PRICE |
|---|---|---|---|
| BUY | 21,656.52 INR | +169.6% | 8,032.50 INR |

**BUY | 12M | target 21,656.52 INR vs last close 8,032.50 INR (169.6% upside)**

Reliance Industries Limited (RELIANCE.NS, NSE) last closed at 8,032.50 INR, inside a 52-week range of 5,525.00-8,925.00. Our 12M view is BUY with a target of 21,656.52 INR, which screens materially undemanding on our base case. The base case compounds revenue from 510.00B INR (last reported) to 1.05T INR over 5 forecast years - a 15.4% CAGR - with the EBITDA margin moving from 36.7% in the first forecast year to 36.7% in the final year. Final-year free cash flow of 225.46B INR equals 58.8% of EBITDA and a 21.6% free-cash-flow margin. Discounting the forecast free cash flow at a 8.50% WACC with 2.5% terminal growth produces an enterprise value of 3.22T INR and equity value of 3.25T INR. The terminal value contributes 79.5% of enterprise value, so long-run assumptions dominate the estimate. At the current market price the implied WACC is 17.82%, i.e. the market discounts our cash flows more steeply than our stated cost of capital.

## Company & Industry

| | |
|---|---|
| Market cap | 1.06T INR |
| Employees | 389,414 |
| Last close | 8,032.5 INR |
| 52-week range | 5,525.00 - 8,925.00 |
| Last reported period | 2025-12-31 |

### Business overview

Operates across refining, petrochemicals, retail and digital services with integrated energy-to-consumer operations. Every figure in this profile is generated deterministically in this browser for RELIANCE.NS.

### Industry context

Commodity price and volume splits, reserves and project pipelines are not available; cyclicality is discussed only through reported revenue and margin history. Sector-specific metrics a professional energy note would track: Revenue and margins (available); Working-capital intensity (available); Commodity price exposure (unavailable - no realised-price or volume split in the dataset); Reserves / production volumes (unavailable - not disclosed in the dataset); Project/asset pipeline (unavailable - not disclosed in the dataset).

### Sector metrics a professional note would track

- Revenue and margins: available
- Working-capital intensity: available
- Commodity price exposure: unavailable - no realised-price or volume split in the dataset

- Reserves / production volumes: unavailable - not disclosed in the dataset
- Project/asset pipeline: unavailable - not disclosed in the dataset

## Financial Statements - Reported History

### Income statement

| Period | Revenue | Gross profit | Operating income | EBITDA | Net income | EPS |
|---|---|---|---|---|---|---|
| 2025 | 510.00B | 323.00B | 153.00B | 187.00B | 119.00B | 793.05 |
| 2024 | 442.00B | 276.25B | 127.50B | 157.25B | 99.45B | 663.00 |
| 2023 | 382.50B | 238.00B | 110.50B | 136.00B | 85.85B | 572.05 |
| 2022 | 331.50B | 204.00B | 93.50B | 114.75B | 72.25B | 481.95 |

Source: All figures in INR. Synthetic local fixture.

### Balance sheet

| Period | Total assets | Cash | Total debt | Equity | Net debt |
|---|---|---|---|---|---|
| 2025 | 722.50B | 127.50B | 102.00B | 467.50B | -25.50B |
| 2024 | 637.50B | 102.00B | 85.00B | 425.00B | -17.00B |
| 2023 | 578.00B | 85.00B | 76.50B | 386.75B | -8.50B |
| 2022 | 510.00B | 72.25B | 76.50B | 331.50B | 4.25B |

Source: All figures in INR. Synthetic local fixture.

### Cash-flow statement

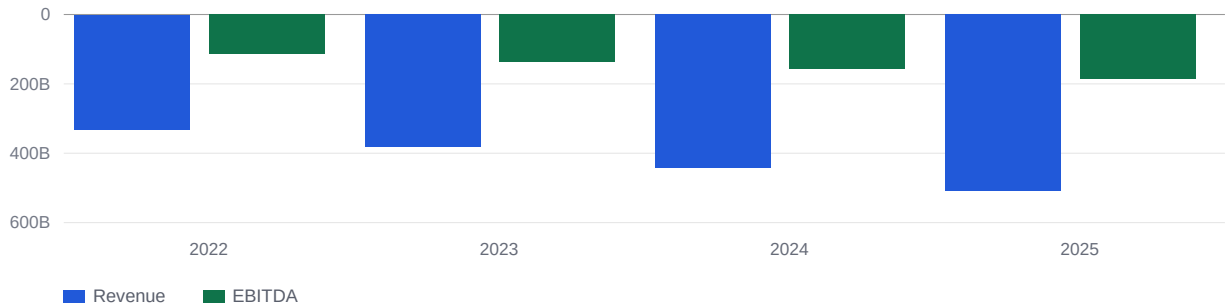
| Period | Operating CF | Capex | Free cash flow |
|---|---|---|---|
| 2025 | 153.00B | -42.50B | 110.50B |
| 2024 | 127.50B | -34.00B | 93.50B |
| 2023 | 110.50B | -29.75B | 80.75B |
| 2022 | 93.50B | -25.50B | 68.00B |

Source: All figures in INR. Synthetic local fixture.

### Key ratios

| Period | Rev growth | Gross margin | Op margin | Net margin | ROIC | FCF |
|---|---|---|---|---|---|---|
| 2025 | 15.4% | 63.3% | 30.0% | 23.3% | 27.7% | 110.50B |
| 2024 | 15.6% | 62.5% | 28.8% | 22.5% | 25.0% | 93.50B |
| 2023 | 15.4% | 62.2% | 28.9% | 22.4% | 23.4% | 80.75B |
| 2022 | - | 61.5% | 28.2% | 21.8% | 22.3% | 68.00B |

Source: Derived from reported statements. Nulls preserved where data is missing.




Source: Reported revenue and EBITDA (INR).

## Base-Case Forecast

| Year | Revenue | EBITDA | EBIT | Net income | FCF | Shares |
|---|---|---|---|---|---|---|
| Y2026 | 588.75B | 215.88B | 176.63B | 137.90B | 125.46B | 12.75B |
| Y2027 | 679.66B | 249.21B | 203.90B | 159.72B | 145.36B | 12.75B |
| Y2028 | 784.62B | 287.69B | 235.38B | 184.91B | 168.33B | 12.75B |
| Y2029 | 905.77B | 332.12B | 271.73B | 213.99B | 194.85B | 12.75B |
| Y2030 | 1.05T | 383.40B | 313.69B | 247.55B | 225.46B | 12.75B |

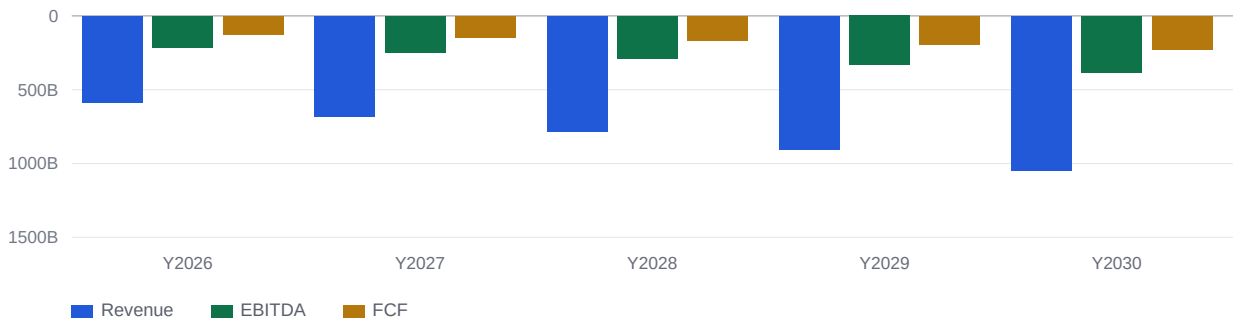
Source: Forecast figures in INR. Deterministic model output.

| | |
|---|---|
| Revenue CAGR | 15.4% |
| Final revenue | 1.05T INR |
| Final EBITDA | 383.40B INR |
| Final free cash flow | 225.46B INR |
| Balance-sheet identity | Balanced in every year |

### Forecast drivers (documented assumptions)

| | |
|---|---|
| Revenue Growth | 15.44% |
| Gross Margin | 63.33% |
| Opex Ratio | 33.33% |
| Tax Rate | 20.00% |
| Da Pct | 6.67% |
| Capex Pct | 8.33% |
| Nwc Pct | 3.33% |
| Interest Rate | 4.17% |
| Dividend Payout | 30.00% |
| Excess Cash Sweep | 0.00% |
| Share Dilution | 0.00% |

9 of 11 drivers are derived from reported history; the remainder are documented engine defaults or user inputs (per-driver sources in the provenance table).




Source: Forecast revenue, EBITDA and free cash flow (INR).

## Valuation - Discounted Cash Flow

### WACC build-up (CAPM, documented defaults)

| | |
|---|---|
| Risk-free rate | 4.00% |
| Equity beta | 1.00 |
| Market risk premium | 5.50% |
| Cost of equity (Rf + beta x MRP) | 9.50% |
| Pre-tax cost of debt | 6.00% |
| Tax rate | 25.00% |
| After-tax cost of debt | 4.50% |
| Equity / debt weight | 70% / 30% |

| | |
|---|---|
| WACC applied | 8.50% |

### Free cash flows and discounting

| Year | Free cash flow | Discount factor | Present value |
|---|---|---|---|
| Y1 | 125.46B | 0.9217 | 115.63B |
| Y2 | 145.36B | 0.8495 | 123.48B |
| Y3 | 168.33B | 0.7829 | 131.79B |
| Y4 | 194.85B | 0.7216 | 140.60B |
| Y5 | 225.46B | 0.6650 | 149.94B |

### Enterprise-to-equity bridge

| | |
|---|---|
| PV of explicit cash flows | 661.44B INR |
| PV of terminal value | 2.56T INR |
| Terminal value share of EV | 79.5% |
| Enterprise value | 3.22T INR |
| Net cash | 25.50B INR |
| Equity value | 3.25T INR |
| Shares outstanding | 150.00M |
| Value per share | 21,656.52 INR |
| Implied exit multiple on final EBITDA | 8.4x |
| Implied upside vs last price | 169.6% |

### Sensitivity - WACC vs terminal growth

| WACC | 1.5% | 2.0% | 2.5% | 3.0% | 3.5% |
|---|---|---|---|---|---|
| 6.5% | 27,116.28 | 29,712.69 | 32,958.21 | 37,131.02 | 42,694.77 |
| 7.5% | 22,421.25 | 24,126.58 | 26,172.97 | 28,674.12 | 31,800.55 |
| 8.5% | 19,074.16 | 20,266.02 | 21,656.52 | 23,299.84 | 25,271.83 |
| 9.5% | 16,569.26 | 17,440.52 | 18,436.24 | 19,585.15 | 20,925.55 |
| 10.5% | 14,625.58 | 15,284.51 | 16,025.82 | 16,865.97 | 17,826.13 |

Source: Value per share (INR). Sensitivity maps model response to assumptions; it does not remove uncertainty.

**Reverse DCF at the current market price**

At a market price of 8,032.50 INR the implied WACC is 17.82%, versus our stated 8.50%. The market discounts these cash flows more steeply than our cost of capital.

### Scenario analysis

Bull: Bull case: target of 24,905.00 INR (+15% versus base) if revenue growth runs ahead of the 15.4% path and the terminal margin holds at 36.7%.

Base: Base case: target of 21,656.52 INR on 15.4% revenue CAGR, 8.50% WACC and the stated terminal assumption.

Bear: Bear case: target of 18,408.05 INR (-15% versus base) if growth decelerates and the discount rate widens by 100 basis points.

## Risks & Catalysts

### Strengths

- Revenue compounding of 15.4% CAGR on the base case, with EBITDA margin at 36.7% by the final forecast year.
- Cash generation: 58.8% of final-year EBITDA converts to free cash flow (225.46B INR), self-funding reinvestment or capital returns.
- Net cash of 25.50B INR provides balance-sheet flexibility through the cycle.
- The three-statement forecast passes its balance-sheet identity check in every projected year.
- Return on invested capital of 27.7% in 2025 indicates value-accretive reinvestment at the reported level.

### Risks

#### Terminal-value dependence

Exposure: The present value of the terminal value is 79.5% of enterprise value.
Impact: Small changes to the discount rate or long-run growth swing the target materially.
Monitoring metric: WACC and terminal-growth assumptions versus the sensitivity grid
Scenario: Value per share across the sensitivity grid ranges 14,625.58-42,694.77.
Basis: fact

#### Growth execution

Exposure: The base case assumes 15.4% revenue CAGR.
Impact: A deceleration compresses both the cash-flow base and the applied multiple.
Monitoring metric: Reported revenue growth versus the forecast path
Scenario: Bear case assumes growth runs below plan (see scenarios).
Basis: inference

#### Synthetic data provenance

Exposure: All financial inputs come from the local deterministic fixture, not company filings.
Impact: No conclusion in this report should be relied upon as a description of any real company.
Monitoring metric: Data-status label on the cover of this report
Basis: fact

#### Missing sector-specific evidence

Exposure: Commodity price exposure, Reserves / production volumes, Project/asset pipeline are not available in the dataset.
Impact: Sector-specific failure modes cannot be quantified.
Monitoring metric: Disclosure of unavailable metrics in the industry section
Basis: fact

### Catalysts

#### Revenue upside versus plan

Event: Reported revenue tracking above the 15.4% base-case path
Timing: Next reported annual period; exact timing is unknown
Grounding: Each point of revenue upside converts at the 36.7% terminal-year EBITDA margin.

#### Capital returns from net cash

Event: Buyback, special dividend or step-up in recurring distributions
Timing: Timing unknown; requires board action
Grounding: Net cash of 25.50B INR on the latest balance sheet would fund returns without new leverage.

#### Multiple re-rating

Event: Market multiple moving toward the model-implied 8.4x exit level
Timing: Timing unknown
Grounding: The DCF embeds a 8.4x exit multiple on final-year EBITDA of 383.40B INR.

## Model Quality & Integrity Review

> **Conviction: LOW**
>
> Conviction is constrained by synthetic data, missing sector evidence.

Data status: SYNTHETIC - deterministic local fixture. Figures are not company-reported. Reported coverage spans 2022-2025 (4 annual periods). Sector metrics unavailable: Commodity price exposure, Reserves / production volumes, Project/asset pipeline. Balance-sheet identity holds in every projected year - necessary but not sufficient for economic correctness. Principal assumptions (9 derived from reported history): revenue growth 15.44%; gross margin 63.33%; opex ratio 33.33%; tax rate 20.00%; da pct 6.67%; capex pct 8.33%.

### Automated checks

| | |
|---|---|
| Balance-sheet identity | Pass |
| DCF produced a value | Yes |
| Valuation warnings | 0 |

| | |
|---|---|
| Integrity errors (blocking) | 0 |
| Integrity warnings | 1 |

**Validation detail**

[WARN] data.synthetic: Figures come from the deterministic local fixture (synthetic demonstration data).

## Sources & Methodology

### Data sources (numbered)

| # | Metric | Value | Period | Status | Source |
|---|---|---|---|---|---|
| 1 | Revenue | 510,000,000,000 | 2025-12-31 | synthetic | APEX local deterministic fix |
| 2 | Revenue growth | 0.15 | 2025-12-31 | derived | APEX local deterministic fix |
| 3 | Gross margin | 0.63 | 2025-12-31 | derived | APEX local deterministic fix |
| 4 | Operating margin | 0.3 | 2025-12-31 | derived | APEX local deterministic fix |
| 5 | Net income | 119,000,000,000 | 2025-12-31 | synthetic | APEX local deterministic fix |
| 6 | EBITDA | 187,000,000,000 | 2025-12-31 | synthetic | APEX local deterministic fix |
| 7 | Free cash flow | 110,500,000,000 | 2025-12-31 | synthetic | APEX local deterministic fix |
| 8 | Net debt | -25,500,000,000 | 2025-12-31 | derived | APEX local deterministic fix |
| 9 | Diluted EPS | 793.05 | 2025-12-31 | synthetic | APEX local deterministic fix |
| 10 | Shares outstanding | 150,000,000 | 2025-12-31 | synthetic | APEX local deterministic fix |
| 11 | Assumption: revenue growth | 0.154416 | forecast horizon | derived | Derived from reported revenu |
| 12 | Assumption: gross margin | 0.633333 | forecast horizon | derived | Derived from reported gross |
| 13 | Assumption: opex ratio | 0.333333 | forecast horizon | derived | Derived from reported operat |
| 14 | Assumption: tax rate | 0.2 | forecast horizon | derived | Derived from reported tax ex |
| 15 | Assumption: da pct | 0.0666667 | forecast horizon | derived | Derived from reported deprec |
| 16 | Assumption: capex pct | 0.0833333 | forecast horizon | derived | Derived from reported capex |
| 17 | Assumption: nwc pct | 0.0333333 | forecast horizon | derived | Derived from reported (curre |
| 18 | Assumption: interest rate | 0.0416667 | forecast horizon | derived | Derived from reported intere |
| 19 | Assumption: dividend payout | 0.3 | forecast horizon | assumption | Engine default (documented a |
| 20 | Assumption: excess cash sweep | 0 | forecast horizon | assumption | Engine default (documented a |
| 21 | Assumption: share dilution | 0 | forecast horizon | derived | Derived from reported share |
| 22 | DCF value per share | 21,656.52 | valuation date | derived | APEX local deterministic fix |
| 23 | WACC | 0.09 | valuation date | assumption | APEX local deterministic fix |
| 24 | Enterprise value | 3,222,978,599,904.78 | valuation date | derived | APEX local deterministic fix |

### Methodology

Forecast: a deterministic three-statement model driven by the documented assumptions in the forecast section. Valuation: unlevered free cash flows discounted at a CAPM-built WACC, with a Gordon-growth or exit-multiple terminal value. Rating: a mechanical band on model upside (BUY >= +10%, HOLD within ?10%, SELL below -10%), withheld entirely when integrity gates fail. Every figure is a model output; the deterministic engine writes the narrative from those outputs and never invents numbers.

| | |
|---|---|
| Peer set | None supplied (comparables omitted) |

## Conclusion

On the evidence supplied we are constructive. The thesis would be strengthened by revenue tracking at or above 15.4%, cash conversion holding near 58.8% of EBITDA, ROIC sustained above 27.7%; it would be weakened by rising terminal-value dependence, continued absence of sector-specific disclosure, reliance on synthetic demonstration data. Material unresolved questions are those listed as unavailable in the industry and model-quality sections; they are disclosed rather than estimated.

### Investment thesis

Energy exposure with 15.4% modelled revenue growth, 36.7% terminal-year EBITDA margin and 58.8% EBITDA-to-FCF conversion. The balance sheet carries 25.50B INR of net cash (0.14x last reported EBITDA). The mechanical rating is BUY; the conviction basis is described below.

### Thesis drivers

- Growth: revenue CAGR of 15.4% from 510.00B INR to 1.05T INR across the forecast horizon.
- Margins: EBITDA margin of 36.7% rising to 36.7%, consistent with operating leverage on the modelled cost base.
- Cash conversion: final-year free cash flow of 225.46B INR, 58.8% of EBITDA.
- Balance sheet: net cash of 25.50B INR at 0.14x EBITDA limits financial risk premium.
- Valuation: DCF value of 21,656.52 INR per share versus a 8,032.50 INR market price (169.6% upside).

**Disclaimer**

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